

Success Factor Category: Environment**Success Factor: Stable internal environment (strategic direction)**

A stable internal environment in terms of strategic direction of the outsourcing bank influences ITO success. Firstly, environmental changes can obviate the need or can change the desire for ITO in general. A change in strategic direction against ITO can be caused by a new internal management too. Secondly, environmental stability supports the ability to define stable IT requirements for the lifetime of the ITO contract and thus avoids costly contractual amendments if possible at all.

Summary of case studies

	Contract A	Contract B	Contract C	Contract D	Contract E	Contract F	Contract G	Contract H	Result
Relevance	Yes	Yes	No	Yes	No	Yes	Yes	Yes	No
Weighting	Partly necessary	Partly necessary		Partly necessary		Partly necessary	Partly necessary	Partly necessary	
Process Classification									
⇒ Preparation							X		
⇒ Selection							X		
⇒ Contract							X		
⇒ Transition							X		
⇒ Execution	X	X		X		X	X	X	
⇒ Post-deal									
Comments									
Contract B:	The development of a new European market as a new business objective requires adaptations in the system (in particular registration). These individually necessary changes in the system are charged only to the bank.								
Contract C:	Customer ratings are a legal requirement (Basel II) in case of loan applications.								
Contract D:	Desired changes in the kind of customer data to be stored are implemented regularly.								
Contract E:	The demands on the system (accountancy, staff and goods economy) do not depend on the strategic direction.								
Contract G:	Currently the foundation of competence centre in the banking group (for IT with this ITO).								
Contract H:	Internal stability is better for a successful outsourcing, in particular as the external environment changes very quickly currently. But nevertheless, changes must be possible at additional costs.								

In cases C and E the system requirements are not dependent on the strategic objectives of the enterprise; hence, the success factor is not relevant in these cases. In cases A, B, D, F, G and H the stability of the strategic enterprise objectives is classified as partly necessary for the achievement of ITO success during the term of the ITO. In case B the development of a new European market required adaptations in the outsourced standard core banking system which could be implemented